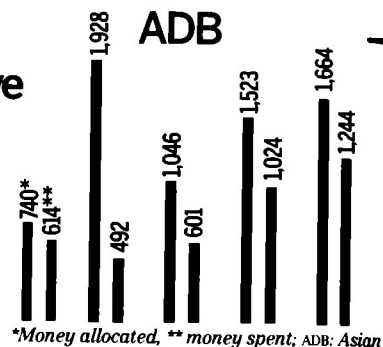


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Rising Reserve

External aid has piled up despite an urgent need for facilities



Price of

India is sitting on a huge reserve of unutilised foreign aid and paying hefty sums as penalties

| By Nivedita Mukherjee |

Managing a country's limited resources for development purposes is not exactly taught even in the world's best B-schools. It comes with years of ground experience and foresight. Not so for India, which is neither endowed with rich resources, nor has it, like many countries, learnt to use its resources to the best of its advantage. Even when India gets foreign supplements in the form of loans and grants from multilateral bodies and bilateral donors, the largesse doesn't get used and piles up for years.

According to a report by the Comptroller and Auditor General (CAG), as of March 31, 2009, India is sitting on an unutilised foreign assistance of a whopping Rs 78,037 crore. This has been mounting from Rs 56,920 crore in 2001 to Rs 75,935 crore in March 2007. Even as the country's external assistance has

CONSTRUCTION WORK AT THE SANTA CRUZ-CHEMBUR LINK ROAD IN MUMBAI; AHLUWALIA AT A RECENT MEET ON DEVELOPMENT EVALUATION (RIGHT)